

Interview Feedback

Brew & Bean Profitability · 2026-09-14 · Overall: strong

Top improvement

Avoid quoting a raw dollar cost increase (the \$24.7 that bundles volume growth) as 'the problem' before isolating the rate effect — reach for the margin-point-times-revenue framing first so you don't have to be corrected into it, even though you recovered cleanly here.

Rubric Scores

Problem Structuring

strong

What went well

Restated the objective before structuring and led with a hypothesis about where the answer likely sits.

"Let me make sure I have the objective right: revenue is up 15% over two years, but net margin fell from 24% to 6%, and we want to find the root cause and fix it."

"Since revenue grew, my instinct is that this is mostly a cost story, but I don't want to assume that — revenue mix could be hiding something too."

Self-diagnosed and repaired MECE gaps when challenged, adding below-the-line items and disaggregating revenue into price and volume.

"my third bucket — external factors — isn't mutually exclusive with the first two. Commodity prices show up inside COGS, wages inside labor."

"cleaner version: Revenue, broken into price and volume, with volume split same-store versus new-store. Then costs, split into COGS, store operating costs, corporate overhead, and below-the-line items."

Tailored the structure to a coffee chain, calling out new-store drag and specific input lines.

"growth from new store openings can drag margins if those stores are immature or in expensive markets"

"costs: split into COGS — coffee beans, milk, cups — and operating costs like labor, rent, utilities, marketing, plus any corporate overhead"

Quantitative & Analytical Rigor

strong

What went well

Correctly separated the rate effect from volume growth when challenged, isolating the true margin impact.

"If COGS had stayed at 42% of revenue, then on today's revenue of 115 it would be $0.42 \times 115 = 48.3$. That 6.3 increase over the original 42 is just normal growth"

"Actual COGS is 66.7. So $66.7 - 48.3 = 18.4$ is the true problem — that's the rate effect"

Executed the nested-percentage bean conversion correctly, avoiding the classic share-of-COGS vs. share-of-revenue error.

"beans were 25% of that, so beans were $0.25 \times 42 = 10.5\%$ of revenue two years ago"

"Apply the 40% price increase: $12.1 \times 1.4 = 16.9$ dollars. As a percent of today's revenue: $16.9 / 115 = 14.7\%$. So beans went from 10.5% of revenue to about 14.7% — a 4.2 point expansion."

Sized the pricing fix cleanly and translated it to a business implication with an elasticity caveat.

"A 10% price increase takes revenue to 126.5, COGS falls to $66.7 / 126.5 = 52.7\%$ of revenue — that's 5.3 points of margin back from one move, assuming volume holds."

What needs work

Before the interviewer's challenge, initially framed the raw \$24.7 COGS dollar increase as the size of the problem — the wrong quantity, since it bundles volume growth with the rate effect (he later corrected this).

"COGS was 42 on revenue of 100. Today it's 58% of 115, which is $0.58 \times 115 = 66.7$. So COGS rose 24.7 dollars while revenue only added 15. Total costs rose 32.1, so COGS alone is about 77% of the total cost increase."

Data & Exhibit Interpretation

strong

What went well

Immediately isolated COGS as the driver and quantified its share of the margin problem once the figure was read aloud.

"COGS went from 42% to 58% of revenue — 16 points of expansion against an 18-point margin decline. So roughly 90% of the problem sits in this one line"

Tested whether the bean spike could explain the full COGS expansion rather than stopping at beans, and correctly concluded it could not.

"That's meaningful but it's only about a quarter of the 16-point problem. Twelve points are still unexplained"

| *"dairy is the obvious next candidate, since milk is a huge input for a specialty chain and dairy has inflated hard"*
Handled a non-rendering exhibit with poise, offering to work from verbal line items rather than bluffing a read.
| *"I don't want to bluff a read on data I can't see, so rather than keep saying 'resend,' let me offer two options."*
| *"read me the lines verbally — just the line item, the base year percent of revenue, and the current percent"*

Business Judgment & Insight

strong

What went well

Correctly diagnosed the core issue as a pass-through failure and deprioritized cost cutting where the data showed lines held.

| *"That's the root cause, or at least the controllable half of it. Input costs inflated across the board... and none of it was passed through."*
| *"The other cost lines held, so this is not a labor or rent story."*

Recognized full margin recovery via price alone was infeasible and scaled to a realistic increase.

| *"that's a 38% price increase, which is way too much to take at once"*
| *"take roughly 8-10% on price, weighted toward less price-sensitive items like specialty drinks and food"*

Proactively surfaced elasticity and competitive risk and proposed a pilot before rollout.

| *"elasticity is unknown, and competitors may not have raised prices, so we could lose traffic. I'd pilot in 15-20 stores across two market types and measure volume before rolling out."*

Creativity & Brainstorming

strong

What went well

Organized the brainstorm into clear buckets (COGS cost, revenue quality, operating) before listing ideas.

| *"On revenue quality rather than raw price: shift mix toward higher-margin items"*

Included non-obvious levers like mix shift and loyalty/bundling to raise ticket without a headline price move.

Sequenced the ideas by speed and impact rather than leaving them flat.

Synthesis & Recommendation

strong

What went well

Led answer-first with a crisp diagnosis and recommendation.

| *"Brew & Bean's margin collapse is a pass-through failure, and the fix is a staged price increase paired with mix shift and procurement reform."*

Supported the recommendation with tied-back evidence, a quantified impact, and explicit risk plus next step.

| *"Sixteen of the 18 points of margin decline sit in COGS"*
| *"Risks: elasticity is unknown, and competitors may not have raised prices... I'd pilot in 15-20 stores across two market types and measure volume before rolling out."*

What needs work

Slightly understated the beans figure in the final synthesis, calling it 'about 4 points' when his own derivation gave 4.2 — minor, but rounded down in the headline.

| *"beans alone up 40%, worth about 4 points"*

Communication & Delivery

strong

What went well

Consistently signposted and used hypothesis-driven, top-down phrasing throughout.

| *"So I'd structure it three ways."*
| *"That's the story, or most of it."*

Narrated math setup before computing, keeping the reasoning easy to follow.

| *"Let me convert that to revenue terms so it's comparable."*
| *"Let me split it."*

Pushback, Composure & Case Leadership

strong

What went well

Responded to the MECE challenge by genuinely evaluating and upgrading the structure rather than defending or capitulating reflexively.

| *"Honestly, not fully. Two issues."*
| *"It's really a layer of drivers, not a separate branch, so I'd fold it under whichever line it's driving rather than listing it in parallel."*

Accepted the volume-vs-rate challenge on the COGS increase and reworked the number instead of digging in.

“Good challenge — I conflated the two. Let me split it.”

“So the margin damage is the 18.4, not the 24.7 I quoted before.”

Kept the case moving under a broken-exhibit obstacle, driving with a normalized frame and proposing concrete workarounds.

“Rather than stall the case, let me keep moving and you can correct me when it lands.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:06

Let me make sure I have the objective right: revenue is up 15% over two years, but net margin fell from 24% to 6%, and we want to find the root cause and fix it.

Since revenue grew, my instinct is that this is mostly a cost story, but I don't want to assume that — revenue mix could be hiding something too.

So I'd structure it three ways. First, revenue: is the 15% growth coming from new stores, more transactions per store, or higher prices? That matters because growth from new store openings can drag margins if those stores are immature or in expensive markets. Second, costs: split into COGS — coffee beans, milk, cups — and operating costs like labor, rent, utilities, marketing, plus any corporate overhead. I'd want the cost breakdown as a percent of revenue in year one versus today to see which line moved. Third, external factors: commodity prices, wage legislation, competitive pricing pressure.

Can we start with the cost breakdown as a percent of revenue for both periods?

Interviewer · 0:09

Before I hand over data — is that structure MECE, and if not, what's missing?

Candidate · 0:16

Honestly, not fully. Two issues.

First, my third bucket — external factors — isn't mutually exclusive with the first two. Commodity prices show up inside COGS, wages inside labor. It's really a layer of drivers, not a separate branch, so I'd fold it under whichever line it's driving rather than listing it in parallel.

Second, I'm looking at net margin, not operating margin, and my cost branch only really covers operating costs. I'm missing everything below the operating line: interest expense — which matters if they financed new store openings with debt — depreciation and amortization on new build-outs, taxes, and any one-time charges like impairments or store closures. An 18-point swing is big enough that a non-operating item could be a real chunk of it.

So cleaner version: Revenue, broken into price and volume, with volume split same-store versus new-store. Then costs, split into COGS, store operating costs, corporate overhead, and below-the-line items.

Can I see the full P&L as a percent of revenue for both years?

Interviewer · 0:18

I don't have a full below-the-line P&L. Here's what I have on the cost structure over time:

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:24

It looks like the cost breakdown didn't come through on my end — I'm just seeing the lead-in with nothing after it. Could you resend those figures?

While you pull that up, let me say what I'm hoping to see so I can move fast once I have it. I want each line as a percent of revenue in the base year and today — COGS, labor, rent, utilities, marketing, and corporate overhead — so I can spot which ones expanded. If margin fell 18 points and revenue grew, some line, or a couple of them, has to have grown meaningfully faster than sales.

My working hypothesis in the meantime is that the two most likely culprits are COGS, if bean or dairy prices spiked and they didn't pass it through, or labor, given wage inflation and tight staffing in retail the last couple of years. But I'd rather let the numbers tell me than guess.

Interviewer · 0:26

Let me note the swing you cited — margin fell 18 points. Walk me through that.

Candidate · 0:33

Sure. Margin went from 24% to 6%, so that's an 18 percentage point decline — I should be careful with the language, it's 18 points, not 18%. In relative terms it's a 75% drop in margin, since 18 divided by 24 is 0.75.

And the absolute profit picture is worse than the margin makes it look isn't quite right — let me actually check. If base revenue is 100, profit was 24. Today revenue is 115, and 6% of 115 is 6.9. So profit fell from 24 to 6.9, roughly a 71% decline in dollars. Slightly less bad than the margin drop because revenue growth cushions it, but still they lost about \$17 of profit per \$100 of original revenue.

The useful implication: costs went from 76 to 108.1 on that same base — up 32.1, while revenue only added 15. So costs grew roughly twice the dollar amount that revenue did.

Interviewer · 0:35

Here's the cost structure over both periods — take a look.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:41

Still nothing coming through on my end — the table isn't rendering in my view. Rather than stall the case, let me keep moving and you can correct me when it lands.

Using my normalized numbers: base revenue 100, costs 76, profit 24. Today revenue 115, costs 108.1, profit 6.9. So costs grew 32.1 points against 15 points of revenue.

If I had to guess where that sits, COGS and labor are typically the two biggest lines in a coffee chain — call it roughly 30% and 30% of revenue respectively, with rent around 10-15%. A 32-point cost increase on a 100 base is enormous, so it almost certainly isn't one line drifting a few points. That points me toward either a large input cost spike that wasn't passed through in price, or aggressive new store openings loading in rent, build-out depreciation, and pre-opening labor before those stores ramp.

Which is it — can you tell me how many of the 200 stores opened in the last two years?

Interviewer · 0:43

Let me put the exhibit on the table again — tell me what you read from it.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:50

I have to be straight with you — nothing is coming through. This is the third attempt and I'm still seeing only your text, no exhibit. I don't want to bluff a read on data I can't see, so rather than keep saying "resend," let me offer two options.

One: read me the lines verbally — just the line item, the base year percent of revenue, and the current percent. Six or seven numbers and I can work from that immediately.

Two: if that's not practical, keep going with my normalized frame and I'll reason from structure. On 100 base revenue, costs went 76 to 108.1 while revenue went to 115. I'd want to know which single line absorbed the biggest share of that 32-point increase, and whether menu prices moved at all over the two years — if pricing was flat while inputs rose, that alone explains a lot of it.

Your call on which is easier.

Interviewer · 0:52

Let me give it to you verbally. Here is COGS as a percent of revenue, current: COGS is 58% of revenue today, up from 42% two years ago.

Candidate · 0:59

That's the story, or most of it. COGS went from 42% to 58% of revenue — 16 points of expansion against an 18-point margin decline. So roughly 90% of the problem sits in this one line, and everything else combined moved maybe 2 points.

In dollars on my normalized base: COGS was 42 on revenue of 100. Today it's 58% of 115, which is $0.58 \times 115 = 66.7$. So COGS rose 24.7 dollars while revenue only added 15. Total costs rose 32.1, so COGS alone is about 77% of the total cost increase.

Now I want to open up that line. Two questions. First, what's inside COGS for them — beans, dairy, cups and lids, food items — and which of those components drove the increase? Second, did menu prices change at all over the two years? If input costs rose and pricing stayed flat, that's a pass-through failure and it's fixable quickly.

Interviewer · 1:01

You said COGS rose while revenue added 15 — is that COGS increase the margin problem, or does it include normal growth with revenue?

Candidate · 1:08

Good challenge — I conflated the two. Let me split it.

If COGS had stayed at 42% of revenue, then on today's revenue of 115 it would be $0.42 \times 115 = 48.3$. That 6.3 increase over the original 42 is just normal growth — it scales with volume and doesn't hurt margin at all.

Actual COGS is 66.7. So $66.7 - 48.3 = 18.4$ is the true problem — that's the rate effect, COGS getting more expensive per dollar of revenue.

And that reconciles nicely: 18.4 on revenue of 115 is 16% of revenue, which is exactly the 16-point rate expansion from 42% to 58%. So the margin damage is the 18.4, not the 24.7 I quoted before.

That also means the other cost lines got slightly better or roughly held, since the total margin decline is 18 points and COGS explains 16 of them.

So the question is entirely: why did cost per dollar of revenue rise 16 points? Is it input prices, product mix shifting toward lower-margin items, waste, or pricing that never moved?

Interviewer · 1:10

Now let's get inside that line. What's the first piece you'd pull, and why?

Candidate · 1:16

First thing I'd pull is a decomposition of COGS into its components — beans, dairy, cups and packaging, food and pastry — each as a percent of revenue in both years. I want to know whether the 16 points came from one input or spread across all of them, because that immediately separates two very different stories.

If it's concentrated in beans, that's a commodity shock — arabica prices did spike — and the question becomes hedging and pass-through. If it's spread evenly across every input, that smells like a pricing problem: menu prices flat while all costs inflated, so everything expands proportionally. If it's concentrated in food and pastry, it's a mix shift toward a lower-margin category.

Alongside that I'd want average ticket price over the same period. Cost per unit and price per unit have to be looked at together — 16 points of margin can come from costs rising, prices not moving, or both, and I can't prescribe a fix until I know which.

So: COGS by component, plus average menu price or ticket. Do we have the component split?

Interviewer · 1:20

I don't have a full itemized component split. Here's what I have on beans as a share of COGS: Coffee beans were 25% of COGS two years ago.

Candidate · 1:26

Let me convert that to revenue terms so it's comparable. Base COGS was 42% of revenue, and beans were 25% of that, so beans were $0.25 \times 42 = 10.5\%$ of revenue two years ago. On my normalized base of 100, that's 10.5 dollars of beans.

The issue is that's the only year I have. To know whether beans drove the 16-point expansion I need the current figure — either beans as a share of COGS today, or beans as a percent of revenue today. Do we have that?

If not, let me frame the bound. The total rate increase is 16 points of revenue. For beans alone to explain it, bean spend would have to go from 10.5% to roughly 26.5% of revenue — that's about two and a half times, which would imply bean prices more than doubled with no pass-through. That's aggressive but not impossible given recent arabica moves. If beans can't cover it, dairy and packaging have to be carrying real weight too.

Interviewer · 1:29

Do you want the bean price change? Here's what I have: Raw coffee bean costs are up 40% over the past two years.

Candidate · 1:36

Let me size it. Beans were 10.5% of revenue, or 10.5 dollars on base 100. If bean volume grows in line with revenue, that's $10.5 \times 1.15 = 12.1$ dollars at old prices. Apply the 40% price increase: $12.1 \times 1.4 = 16.9$ dollars.

As a percent of today's revenue: $16.9 / 115 = 14.7\%$. So beans went from 10.5% of revenue to about 14.7% — a 4.2 point expansion.

That's meaningful but it's only about a quarter of the 16-point problem. Twelve points are still unexplained, and that's the bigger share.

Two implications. One, I need to find the rest — dairy is the obvious next candidate, since milk is a huge input for a specialty chain and dairy has inflated hard. Packaging and food are worth checking too. Two, and maybe more importantly, none of this would have hit margin if prices had moved. A 40% bean increase on a 10.5% line only needs about 4 points of price to offset.

Did menu prices change at all over these two years?

Interviewer · 1:38

Here's what I have on menu pricing over the two years: Menu prices have not changed in two years.

Candidate · 1:44

That's the root cause, or at least the controllable half of it. Input costs inflated across the board — beans confirmed at 40%, almost certainly dairy and packaging too — and none of it was passed through. Revenue grew 15% purely on volume or store count, not price, so every cost increase landed directly on margin.

The fix is pricing, and the math is encouraging. To recover the full 16 points of COGS rate expansion, I need COGS to go from 58% back to 42% of revenue. Holding cost dollars constant at 66.7, I'd need revenue of $66.7 / 0.42 = 158.8$, versus 115 today — that's a 38% price increase, which is way too much to take at once.

But full recovery may not be the target. A 10% price increase takes revenue to 126.5, COGS falls to $66.7 / 126.5 = 52.7\%$ of revenue — that's 5.3 points of margin back from one move, assuming volume holds.

Which raises the key question: what's demand elasticity here, and what have competitors done on price?

Interviewer · 1:57

Let me hold the elasticity question a moment. Beyond pricing, what else could the client do to reverse the margin decline?

user Several levers beyond straight menu pricing. Let me group them.

On the cost side of COGS itself: renegotiate bean contracts or buy through a larger distributor for volume discounts, lock in prices with forward hedging so they're not exposed to spot spikes, and reduce waste — spoiled milk, over-portioning, discarded pastries can be a few points on their own. Also reformulate or re-source lower-cost inputs where quality allows, like alternative milk suppliers.

On revenue quality rather than raw price: shift mix toward higher-margin items — push food, cold brew, and specialty drinks that carry better margins than drip coffee, and use bundling or loyalty to raise average ticket without a headline price increase, which is gentler on elasticity.

On the operating side, though we saw it's not the main driver: since other lines held while COGS blew out, there may be modest efficiency room in labor scheduling or rent, but I'd deprioritize it given it's not where the problem is.

If I'm sequencing: pricing and mix are fastest and highest impact, procurement and hedging are medium-term structural fixes, waste reduction is quick but smaller.

The one I'd test first is a targeted price increase paired with mix shift, because it's fast and directly attacks the pass-through failure.

Want me to pressure-test the pricing move against elasticity risk?

Given time, though — should I pull this into a recommendation for the CEO?

Candidate · 2:03

Yes, let me pull it together.

Recommendation: Brew & Bean's margin collapse is a pass-through failure, and the fix is a staged price increase paired with mix shift and procurement reform.

Supporting logic. Sixteen of the 18 points of margin decline sit in COGS, which went from 42% to 58% of revenue. Input costs inflated — beans alone up 40%, worth about 4 points — while menu prices have not moved in two years, so all of it hit the bottom line. The other cost lines held, so this is not a labor or rent story.

The moves: take roughly 8-10% on price, weighted toward less price-sensitive items like specialty drinks and food; push mix toward

those same higher-margin categories; renegotiate and hedge bean contracts; attack waste.

A 10% increase recovers about 5 points of margin if volume holds.

Risks: elasticity is unknown, and competitors may not have raised prices, so we could lose traffic. I'd pilot in 15-20 stores across two market types and measure volume before rolling out.

Interviewer · 2:05

That's a clear place to close. Thank you for working through it — a full written report with feedback will follow.